FLUENCE ENERGY, INC.

Nasdaq: FLNC | Grid battery storage systems, services and software | Arlington, Virginia

Tommy Lau | 12 October 2026 | Initiation of coverage | Independent research

NO CALL	**Target price:** None (no call)	**Last price:** US$7.43 (Nasdaq close, 9 October 2026)	**Upside:** Base value US$7.88 (+6%)

Fluence has the orders. Until its Houston line proves it can make American-made systems, US$7.43 is a fair price for not knowing.

Fluence designs the large battery systems that utilities and, now, data centres buy. My piece of 12 October argued that its American deliveries are limited not by demand but by how fast it can make systems that count as American-made, which tax rules reward, and that a new Houston line making them fell badly behind this summer.

The filings support the claim. Backlog reached a record US$6.4bn at the end of June and orders nearly tripled, yet the revenue guide for the year to September 2026 was cut twice in six weeks, to about US$2.4bn, 29% below the November midpoint, and the September release names Houston as the primary reason. At US$7.43 the shares trade at 0.43 times my FY28 revenue: a partial, late recovery.

My call: NO CALL, medium conviction. My base case is worth US$7.88, up 6%, inside a range of US$3.04 (down 59%) to US$15.08 (up 103%). I would revisit below about US$6.85, or when Fluence's first published US production figures show Houston near 11 units a day.

Stock data

LAST PRICE
US$7.43, Nasdaq close 9 October 2026; highest close US$32.23 (3 Feb 2026); intraday high US$33.51 (30 Jan 2026); 52-week low close US$7.27 (22 Sep 2026)

MARKET VALUE
About US$1.37bn on 184.6m shares (Class A 143.2m plus Class B-1 41.4m, 31 Jul 2026)

NET DEBT
US$35m at 30 Jun 2026 (US$400m convertible less US$365m cash); about US$165m at 30 Sep 2026 on my estimate

ENTERPRISE VALUE
About US$1.54bn; 0.64x the FY26 revenue guide, 0.43x my FY28 revenue

FY26 GUIDE (16 SEP 2026)
Revenue about US$2.4bn (was US$3.2 to 3.6bn); adjusted EBITDA loss about US$200m

BACKLOG, 30 JUN 2026
US$6.4bn, a record; 48 to 53% expected as revenue in the next 12 months

CONSENSUS (STOCKANALYSIS.COM)
FY27 revenue US$3.25bn; average target US$10.00 (23 analysts), median US$8.50

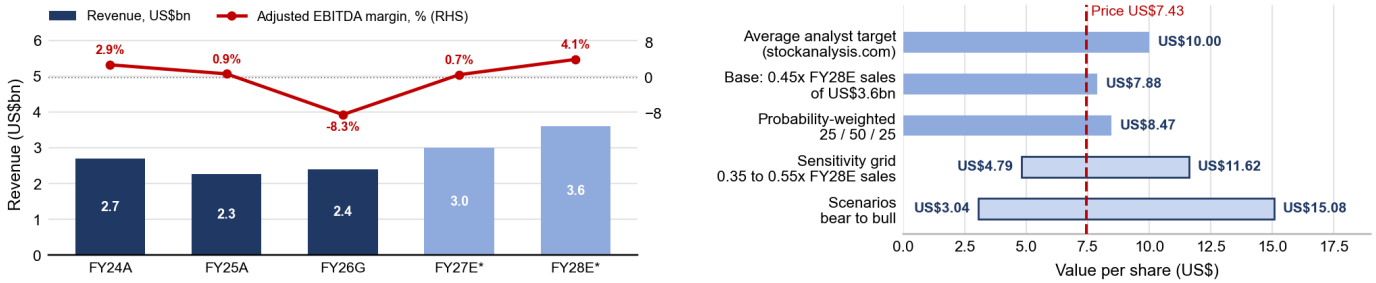
NEXT EVENT
FY26 results, first US production figures and the FY27 plan; date not announced (last year 24 November)

Key financials (fiscal years to 30 September)

US$ million unless stated	FY24A	FY25A	FY26 guide	FY27E*	FY28E*
Revenue	2,699	2,263	about 2,400	3,000	3,600
Revenue growth (%)		-16	6	25	20
Adjusted gross margin (%)	12.9	13.7		10.5	13.0
Net operating costs†	270	290		295	320
Adjusted EBITDA	78	19	about -200	20	148
Adjusted EBITDA margin (%)	2.9	0.9	-8.3	0.7	4.1
Free cash flow	72	-160	-299 (9 months)		
EV / revenue at US$7.43 (x)			0.64	0.51	0.43

**FY27E and FY28E are my own estimates, not Fluence's. Adjusted measures are Fluence's non-GAAP measures. FY24A and FY25A from the FY25 results release of 24 November 2025; FY26 is the guide of 16 September 2026; free cash flow for the nine months to June 2026 from the 5 August release. †Derived: adjusted gross profit less adjusted EBITDA. EV uses my net debt estimate for 30 September 2026.*

Two charts: a margin that has to come back, and a valuation that sits around the price



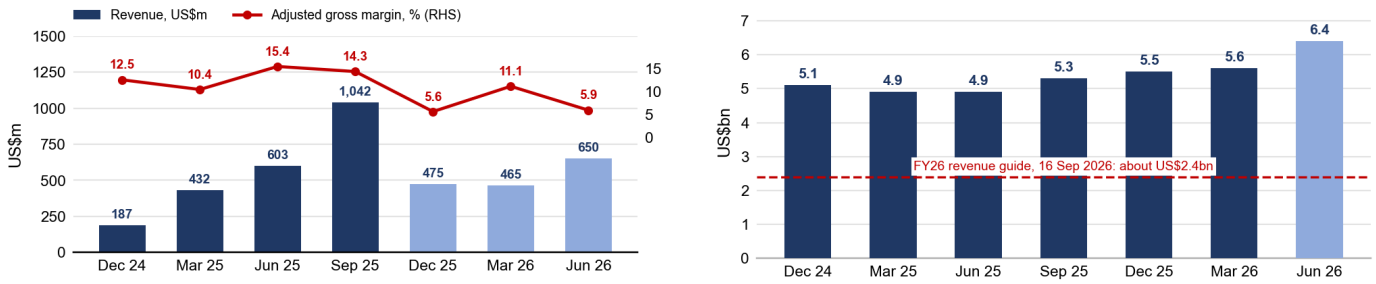
Left: revenue and adjusted EBITDA margin, FY24A to FY28E. FY26G is the guide of 16 September 2026; FY27E and FY28E are my estimates. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$7.43 price (red) and the average analyst target.

The thesis: a shop full of orders, waiting on one workshop

Think of the boiler shop from the piece. Its customers get a large discount from the council only if the boiler was built in this country. Its warehouse is full of cheap imported boilers, and the one local workshop is welding by hand while its robot is fixed. The shop has more orders than ever. What it can deliver this winter is set by that one workshop.

Fluence is that shop, at the scale of power stations. It does not make battery cells: it designs the system, has contract factories assemble it and writes the software that runs it. Its backlog was a record US$6.4bn at the end of June, and it expects 48 to 53% of that to become revenue in the next twelve months.

Demand is not the problem. June quarter orders were more than US$1.44bn, nearly triple a year earlier. In the nine months to June it contracted 4.2 GW of storage against 1.9 GW a year before, and its pipeline grew 34% to 163.7 GWh. By July it had about US$850m of data centre business, including a first large order behind the meter and about US$550m of hyperscaler awards that were not yet purchase orders.



Left: revenue by quarter and adjusted gross margin as first reported. Right: backlog at quarter end, US$bn, against the FY26 revenue guide. Sources: Fluence quarterly results releases, 10 February 2025 to 5 August 2026.

Delivery is the problem. The FY26 revenue guide went from US$3.2 to 3.6bn in November 2025 to US$2.9 to 3.1bn on 5 August and about US$2.4bn on 16 September, with an adjusted EBITDA loss of about US$200m. The September release says demand "has remained strong", the international supply chain "has continued to work well", and delays at the Houston contract manufacturing facility are "the primary reason". On the August call the chief executive described Houston as a fully automated enclosure plant sized for 15 GWh a year, running on generators while it waited for its grid connection. Trade press reports of the September call say it averaged under one unit a day in August against a plan of eleven, reached three in early September, and that more than 80% of the cut came from US production; I could not verify these against the replay.

The money shows where the strain sits. June quarter gross margin was 5.1%, against 14.8% a year earlier. The quarterly report names liquidated damages, the late delivery penalties agreed in contracts, first for the June quarter, ahead of cost overruns on newer products and higher battery prices; for the nine months it also names cost increases on certain projects produced in the US. Customers in the Americas made up 56% of revenue in the nine months to June.

Where I was wrong in October. The piece said: "Its factories overseas, the company said, kept working well." That is what Fluence said on 16 September. But it followed the line that Fluence "cut its revenue forecast twice in six weeks", and the first cut, on 5 August, blamed two things: "production issues at a new international contract manufacturing facility" and construction

delays at the new US one. On the August call management said a new China facility's first output had needed rework and was then at full production. What showed me the slip was the August release itself. It does not change the view: the second, larger cut was mainly American, and the claim stands.

Fluence says it will publish US production figures, actual and forecast, and a fiscal 2027 business plan with its fiscal 2026 results. Those numbers are the test of the claim and of the shares.

Variant perception: what the market prices in, and where I differ

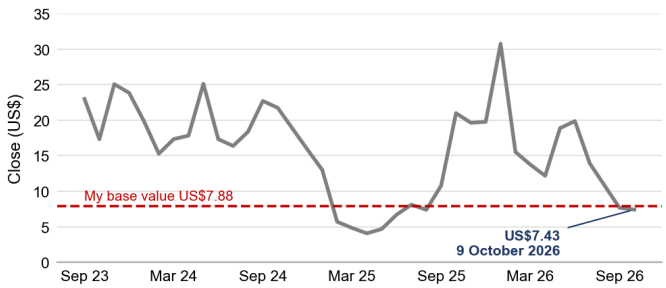
At US$7.43 Fluence is worth about US$1.37bn on 184.6m shares, counting the Class B-1 shares AES can redeem for Class A one for one. Net debt was US$35m at the end of June. The September quarter is not yet reported: free cash flow was minus US$299m in the nine months, and the S&P Global full-year forecast implies about minus US$133m in the last quarter. I assume US$130m of cash use, so net debt of about US$165m and an enterprise value of about US$1.54bn, my estimates.

That is 0.64 times this year's revenue guide and 0.47 times the S&P Global consensus of US$3.25bn for FY27. The average target of 23 analysts is US$10.00, but the median is US$8.50 and the range runs from US$3.00 to US$23.00; fourteen rate it a hold, and about 15% of the shares are sold short. The market expects a recovery, but not a full or a quick one. I differ on three points.

Next year is not as safe as consensus. On the August call Fluence said US$2.2bn of backlog was scheduled for FY27, before the September cut pushed more work into that year. Consensus needs the Houston fix early and new orders delivered within the year, and the September release lists plans to right-size revenue growth. I take US$3.0bn, a little below consensus.

The margin comes back, but slowly. Penalties and launch costs should fade once deliveries run on time, and FY25 adjusted gross margin was 13.7%. I assume 10.5% in FY27 and 13% in FY28. Even then Fluence earns little: adjusted EBITDA of about US$20m in FY27 and US$148m, a 4.1% margin, in FY28.

The balance sheet is the bear case, not the orders. Total liquidity was US$863m at the end of June. The revolving credit facility carries a US$150m minimum liquidity test through 31 December 2026 and a leverage ratio test from 1 January 2027, while adjusted EBITDA is negative. A further slip at Houston would test both, and the May 2026 shelf registration lets Fluence issue new shares if it must.



Date	What happened	Move
25 Nov 2025	FY25 results; FY26 guide of US$3.2 to 3.6bn	up 6.1%
5 Feb 2026	1Q FY26 results; gross margin 4.9%	down 34.6%
7 May 2026	2Q FY26 results; two hyperscaler supply agreements	up 39.9%
6 Aug 2026	3Q FY26 results; first cut, to US$2.9 to 3.1bn	down 7.2%
17 Sep 2026	Second cut, to about US$2.4bn; Houston named	down 15.4%
9 Oct 2026	Close of US$7.43, 77% below the highest close	

Left: Fluence month-end close, September 2023 to the 9 October 2026 close, against my base value (red). Nasdaq.com historical data, retrieved 12 October 2026. Right: moves in the session after each release (all filed after the close), close to close.

Valuation, with the working

I value Fluence on enterprise value to revenue in FY28, the year to September 2028, which is what the market will price by October 2027. Its EBITDA is too thin to carry the value alone: one point of gross margin moves my FY28 EBITDA by about 24%. I cross-check every case against EBITDA. Net operating costs, adjusted gross profit less adjusted EBITDA, were US$270m in FY24 and US$290m in FY25; I take US$295m and US$320m.

The multiple: 0.45 times FY28 revenue. At my 4.1% margin that is about 11 times EBITDA, below the median of 13.0 times trailing EBITDA for Sungrow, Nextracker, Shoals and Array Technologies. Fluence earns thinner margins than any of them, so I do not use their revenue multiples (median 2.36 times). 0.45 x US$3,600m less net debt of US$165m, over 184.6m shares, gives US$7.88.

Scenarios: three cases, twelve months out

Case	What happens	FY28 revenue	FY28 EBITDA	EV/ sales	Value	Change	Weight
Bear	Houston stays slow into 2027, the plan is cut again; growth 10% a year, adjusted gross margin 12%	US$2,904m	US$28m	0.25x	US$3.04	down 59%	25%
Base	Houston reaches its rate during 2027; growth 25% then 20%, margin back to 13%	US$3,600m	US$148m	0.45x	US$7.88	up 6%	50%
Bull	Houston fixed early in 2027, data centre awards become orders; growth 35% then 30%, margin 14.5%	US$4,212m	US$291m	0.70x	US$15.08	up 103%	25%
Weighted	**25 / 50 / 25**				**about US$8.47**	**up 14%**	

All cases start from the FY26 guide of about US$2.4bn, use my FY28 net operating costs of US$320m for EBITDA, and take off the same net debt over the same shares. The bull multiple is about 10 times FY28 EBITDA. The bear multiple prices a company with almost no earnings and a cash question; its EBITDA multiple is not meaningful.

Sensitivity: FY28 revenue against the revenue multiple

FY28 revenue	0.35x	0.45x	0.55x
US$3,000m	US$4.79	US$6.42	US$8.04
US$3,600m	US$5.93	**US$7.88**	US$9.83
US$4,200m	US$7.07	US$9.34	US$11.62

5 of the nine cells sit above the price, but only 3 sit 15% or more above it, and each of those needs revenue above my base, a multiple above it, or both. Under my rule, a long needs the base value 15% or more above the price and a short needs it 25% or more below. At 6% above, I make no call.

Peer landscape

Company	Ticker	EV/sales	EV/EBITDA	What they make
Fluence	Nasdaq: FLNC	0.55x	n.m.	Grid battery systems, services and control software (integrator)
Sungrow	SZSE: 300274	1.84x	10.0x	Inverters and grid battery systems
Nextracker	Nasdaq: NXT	3.28x	15.9x	Solar trackers
Shoals	Nasdaq: SHLS	2.87x	16.8x	Electrical balance of system for solar and storage
Array Technologies	Nasdaq: ARRY	0.85x	8.5x	Solar trackers
Eos Energy	Nasdaq: EOSE	5.85x	n.m.	Zinc-based long-duration batteries

Trailing EV/sales and EV/EBITDA from stockanalysis.com, retrieved 12 October 2026; n.m. where EBITDA is negative. Median of the four peers with positive EBITDA (excluding Eos Energy): 2.36x EV/sales and 13.0x EV/EBITDA. Multiples are used only to set the range for Fluence; no view on the peers' shares is expressed.

Catalysts

When	Event	What I watch
Late November 2026 (date not announced)	FY26 results, first quarterly US production figures and the FY27 plan	Houston units a day against 11; FY27 revenue against US$2.6 to 3.5bn; September quarter cash use
27 November 2026	Lead plaintiff deadline in Hatweek v. Fluence Energy	Any change to disclosure or reserves
31 Dec 2026 / 1 Jan 2027	Minimum liquidity test ends; leverage ratio test begins	Waiver, new facility or new equity
End of March 2027	The claim's test date	Houston at about 11 units a day or a 15 GWh a year pace; FY27 plan not cut again
Each quarter	Results and Form 10-Q	Liquidated damages and gross margin; whether the US$550m hyperscaler awards become orders

Risks: what would hurt the view

Houston. Everything turns on it. In August Fluence expected full production in the three months to December 2026; trade press reports of the September call put it at three units a day against eleven, after a switch to manual welding. A new chief operating officer, Bernerd Da Santos, formerly of AES, started on 15 September to run supply chain and manufacturing.

Cash and covenants. A weak first quarter of FY27 could force a waiver, a smaller facility or new shares. Fluence says its aim is to fund the backlog without external capital.

Penalties. Liquidated damages reduce revenue as projects slip. Trade press puts this year's in the tens of millions of dollars, with figures that differ between reports. Each month Houston runs late adds to them.

Data centre awards. The US$550m of hyperscaler awards were not purchase orders in August. Data centre buyers want speed, and delays could send them to Tesla Energy or Sungrow, which also build complete systems.

Policy. The domestic content bonus and the prohibited foreign entity rules make US-made systems scarce. Fluence believes its US suppliers comply under Treasury guidance of 12 February 2026. A change would cut both ways.

Holders and lawsuits. Siemens and AES each hold about 41.4m shares, and selling holders can still sell 94.7m shares under the May 2026 shelf. A securities class action, Hatweek v. Fluence Energy, No. 1:26-cv-08475 (S.D.N.Y.), was filed on 28 September 2026 for buyers between 24 November 2025 and 16 September 2026; the lead plaintiff deadline is 27 November 2026.

What would change my mind

Into a long: a price below about US$6.85, where my base value would sit 15% above it on unchanged estimates, or Fluence's first US production figures showing Houston at or near 11 units a day with an FY27 plan of at least US$3.0bn. **Towards a short:** a price above about US$10.51, where my base value would sit 25% below it.

The view is wrong if the shares close above US$11.00 or below US$4.50 in October 2027, or the fiscal 2027 plan Fluence publishes with its fiscal 2026 results puts revenue below US$2.6 billion or above US$3.5 billion.

Conclusion

The October piece argued that Fluence's American deliveries are limited by how fast it can make systems that count as American-made, not by demand. Its filings say so: a record US$6.4bn backlog, orders nearly tripled, and a September release that blames Houston and says demand stays strong. One correction: the first cut, in August, also named a new overseas factory, since fixed. The claim stands. But a claim about a bottleneck does not say how long it lasts, and at US$7.43 the shares price a recovery that is partial and late. My call: NO CALL, medium conviction; base value US$7.88, range US$3.04 to US$15.08.

Appendix: forecast assumptions

Assumption	FY26	FY27E	FY28E	Basis
Revenue growth	6% (guide)	25%	20%	Below FY27 consensus; record backlog supports FY28
Adjusted gross margin		10.5%	13%	Back to about the FY24 and FY25 level by FY28
Net operating costs, US$m		295	320	US$270m in FY24, US$290m in FY25
Net debt, US$m	165 (Sep, est.)			June net debt plus my US$130m September quarter cash use; held flat
Shares, m	184.6			Class A plus Class B-1, 31 July 2026; convertible out of the money
Multiple, EV / FY28 revenue			0.45x	About 11x FY28 EBITDA; peer median 13.0x

Full workings, with live formulas, in the accompanying model, 2026-10-12_Fluence_Model.xlsx.

Sources

Fluence quarterly results releases on Form 8-K, Exhibit 99.1, of 10 February 2025, 7 May 2025, 11 August 2025, 24 November 2025, 4 February 2026, 6 May 2026 and 5 August 2026, for revenue, gross and adjusted gross margin, adjusted EBITDA, free cash flow, orders, backlog, liquidity and guidance. Fluence Form 8-K of 16 September 2026, Exhibits 99.1 and 99.2, for the revised guide, the Houston statement and the chief operating officer. Fluence Form 10-Q for the quarter to 30 June 2026, filed 5 August 2026, for the balance sheet, shares, convertible notes, backlog conversion, operating metrics, revenue by region, liquidated damages, the credit agreement and the shelf

registration. Fluence Form 8-K of 15 May 2026 on the AES redemption. Fluence third quarter fiscal 2026 earnings call, 6 August 2026, transcript published by The Motley Fool, for Houston, FY27 backlog and data centre comments. Latitude Media, 21 September 2026, mgrid.org, 18 September 2026, and the Quartr summary of the 16 September call, for Houston unit rates, the US share of the cut and penalties, not verified against the replay. Hatweek v. Fluence Energy, No. 1:26-cv-08475 (S.D.N.Y.), filed 28 September 2026, and law firm announcements from 30 September 2026 (Kaplan Fox; Kessler Topaz on Business Wire, 1 October 2026) for the class action. Share prices from Nasdaq.com historical data; consensus, targets, short interest and peer multiples from stockanalysis.com (S&P Global data); all retrieved 12 October 2026. Estimates for FY27 and FY28 and the September 2026 quarter cash use are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 12 October 2026, thephysicallayer.fyi/journal/fluence-short-of-american-made; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Fluence. Personal research, not investment advice.

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